BYD Company Ltd — deep dive and lens review (28 Oct 2026)

Tickers: H-shares **1211.HK** (HKD, the instrument valued here) · A-shares 002594.SZ (CNY) · ADR BYDDY (USD). Not Boyd Gaming (NYSE: BYD). **Prepared for:** Drew Goldman / Magis Capital. Request ref [pt116u]. Internal research note; nothing was sent externally and the repo was not touched. **Labels:** [fact, source] = taken from the named source; [inference] = my calculation or judgment. RMB bn unless stated. FX: HK$1.176 per RMB (yfinance CNYHKD, 28 Oct 2026). Times are ET unless labelled.

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0. Executive answer

- **Quality: good, not great.** [inference] BYD is the world's largest NEV maker. It is vertically integrated and the cost leader: 4.60m NEVs in FY2025, 1.34m exported in 9M26 [fact, AR2025; HKEX monthly volumes]. But its returns are cyclical and the business is capital-hungry:
  - ROE was 3–12% in FY2016–21 and 15–25% in FY2022–25 [inference, table §2].
  - Capex was 2.0× D&A in FY2025 [inference, AR2025 cash-flow statement; yfinance D&A].
  - Cumulative 10-yr FCF was RMB56.6bn against RMB140.3bn of net income [inference].
- **Moat: real but narrow and policy-impairable.** [inference] There is a scale and battery-cost moat (the low-cost producer), but:
  - It is being competed away at home: China's price war, with BYD the price-cut leader in May 2025 [fact, Caixin 27 May 2025].
  - Beijing and foreign states set part of the profit pool: the SAMR below-cost pricing guide (Feb 2026), the battery consumption tax (Sep 2026), the NEV export VAT rebate cut from 13% to 9% from 1 Apr 2027, the EU's 17% CVD on top of the 10% duty, and the US 1260H listing [facts, §3].
- **Call: WAIT (Pass at today's price).** At HK$70.45 the base-case 7-yr owner-cash IRR is **7.7%**, below the 15% hurdle. Bear is −5.2% and bull 16.5% [inference, engine §4].
- **Buy zone (IRR-derived only): HK$32–48 per 1211.HK share.**
  - HK$48.3 is the price at which the base case returns 15% on reported (≈zero) net debt.
  - HK$32.2 is the same 15% price after charging excess supplier payables (above a 60-day norm) as debt, per Hohn's Fiat rule.
  - Today's price is 46% above the top of the zone [inference].
- **The swing factor is tomorrow.** Q3 2026 results are due Thu 29 Oct 2026 (HKEX board-meeting notice of 14 Oct) [fact, board_1014]. They are **not out yet; Q3 figures are missing** from this note.
  - Sell-side previews expect RMB11.1–11.5bn net profit [fact, MarketWatch/Visible Alpha; CMBI 14 Oct 2026; Goldman via Biggo].
  - If the yfinance consensus forward EPS (HK$6.52) were the run-rate, the base IRR would be 18.5%. That is the bull's case, not mine [inference].

1. The Monsoon Pabrai post (monsoonpabrai.com/blog/blog-posts/byd, undated; fetched 28 Oct 2026)

Context: Monsoon Pabrai is Mohnish Pabrai's daughter. **Her post is her view, not Mohnish's.** pabrai.md has no BYD position or BYD thesis from Mohnish [inference, lens file read in full].

Thesis [fact, post]:

- BYD is "a cost machine": founder Wang Chuanfu's "brutal vertical integration of the entire EV bill of materials". "Owning the stack" is "a strategy, not a slogan."

- Batteries are produced "at roughly half the cost of Tesla's", the lowest cost of any global EV maker. Motors, inverters and power electronics are made in-house.
- Vehicles "priced as much as 30% below peers while still leaving room for profits." Earnings growth was ">40% year-over-year" with "returns on equity above 20%".
- It sells an EV in China "for under $10,000". The range runs to a supercar.
- Tariffs: "BYD barely sells anything to the US. Only their buses." "In a high tariff environment, they will thrive". Expansion in Mexico, Chile, Brazil, Thailand, Vietnam, Indonesia and Europe; possible factories in Mexico or Canada.
- Quotes Li Lu (G&D, Spring 2013): Wang started from "a $300,000 loan"; "$8 billion in revenue, 170,000 employees". Also Buffett to Becky Quick (26 Feb 2018): Munger called Wang "a combination of Edison and Bill Gates".
- Conclusion: "structural cost leadership that will keep compounding".

Numbers and claims tested against the filings:

Post claim	What the record shows
ROE "consistently above 20%"	True only for FY2023 (24.0%) and FY2024 (24.8%). FY2025 was 15.1% and FY2016–21 was 3–12% [inference, AR data §2]. 1H26 NI fell 20.5% YoY [fact, IR2026].
Earnings growth ">40% YoY"	True FY2022–24. FY2025 NI −19% (40.25→32.62) and 1H26 −20.5% [fact, AR2025, IR2026].
"Financial discipline"	Supplier payables ran at 142–170 days of COGS for most of the decade (§2). In June 2025 BYD pledged ≤60-day supplier payment [fact, BYD statement 11 Jun 2025]. FY2025 FCF was −RMB97.7bn [inference].
Thrives under tariffs	Partly borne out: overseas revenue was 38.6% of FY2025 revenue and 52.6% of 1H26 (RMB181.3bn of 344.8bn) [fact, AR2025; IR2026]. Countervailing facts: EU 17% CVD plus 10% duty; the Hungary plant slipped about a year to Q4 2026 and the Turkey plant is on hold [fact, Reuters 9 Jun 2026; Automotive World Sep 2026]; NEV export rebate cut from 1 Apr 2027 [fact, MOF/STA 2026 No. 29].

Risks: the post has **no risks section**. It does not mention the price war, payables, capital intensity, state policy or valuation [fact, post].

2. Ten-year history (RMB bn; per-share on today's share base)

Sources:

- FY2016–20: HKFRS annual reports.
- FY2021–25: AR2025 five-year summary (CAS, restated) and each year's CAS balance sheet.
- Capex: HKFRS PP&E + prepayments + land + intangibles (FY16–20); CAS "cash paid for fixed, intangible and other long-term assets" (FY21–25).

Notes:

- Adjusted shares = year-end shares ×3, for the 2025 bonus issue (8 bonus + 12 capitalisation per 10).
- Net cash = cash (incl. trading financial assets for CAS years) − interest-bearing borrowings, bonds and leases.
- Payable days = (trade + bills payables) / COGS × 365.
- Excess payables = (trade + bills) above 60 days of COGS.
- Adjusted net debt = −net cash + excess payables, **excluding** perpetual bonds and "other payables" (shown separately below).

FY	Rev	GM	NI	OCF	Capex	FCF	Adj sh (bn)	EPS adj	FCF/ sh	ROE	Net cash	Pay days	Excess pay >60d	Adj net debt ex-perp	NEV units	Overseas rev %
2016	100.2	19.0%	5.05	-1.8	13.1	-14.9	8.18	0.62	-1.82	12.1%	-35.2	156	21.3	56.5	missing	missing
2017	102.7	17.5%	4.07	6.4	14.8	-8.4	8.18	0.50	-1.03	7.7%	-47.6	170	25.6	73.2	110000	missing
2018	121.8	14.8%	2.78	12.5	17.9	-5.3	8.18	0.34	-0.65	5.0%	-53.5	159	28.2	81.7	247811	missing
2019	121.8	14.8%	1.61	14.7	20.6	-5.9	8.18	0.20	-0.72	2.9%	-64.3	124	18.3	82.6	229506	missing
2020	153.5	17.7%	4.23	45.4	11.8	33.6	8.18	0.52	4.11	7.5%	-37.5	144	29.0	66.6	189689	missing
2021	216.1	12.5%	3.04	65.5	37.3	28.1	8.73	0.35	3.22	4.0%	+20.7	155	49.4	28.7	603783	29.6%
2022	424.1	15.5%	16.62	140.8	97.5	43.4	8.73	1.90	4.97	16.1%	+50.3	146	84.9	34.6	1863494	21.6%
2023	602.3	18.6%	30.04	169.7	122.1	47.6	8.73	3.44	5.45	24.0%	+71.8	148	117.9	46.1	3024417	26.6%
2024	777.1	19.4%	40.25	133.5	97.4	36.1	8.73	4.61	4.14	24.8%	+102.8	142	141.1	38.3	4272145	28.5%
2025	804.0	17.7%	32.62	59.1	156.8	-97.7	9.12	3.58	-10.71	15.1%	+10.8	115	100.5	89.7	4602436	38.6%
1H26	344.8 (−7.1%)	18.8%	12.33	37.3	44.7	−7.4	9.12	1.35	−0.81	n/m	+2.8	~150 (1H annualised) / ~132 (TTM COGS)	125.1	122.3 (143.2 incl. perps 20.85)	9M26: 3,131,576	52.6%

The 1H26 row comes from IR2026 (30 Jun 2026 balance sheet). Missing or approximate items:

- FY2017 NEV volume is ">110k" [fact, AR2017].
- FY2016 NEV units and pre-2021 overseas revenue split were not captured: **missing**.
- Q3'26 is **missing** (results due 29 Oct).
- 2016 and 2015 equity includes perpetual loans (RMB3.80bn / 3.20bn).

What the table says [inference unless labelled]:

1. **Growth is real.** - Revenue rose 8.0× and NEV units ~42× between FY2017 and FY2025. - EPS on today's share base went from RMB0.62 to RMB3.58 (FY16–25), a 21.6% CAGR. - Dilution was modest: shares ×1.114 over nine years (1.2%/yr), with H placements in 2021/22 and Mar 2025 [fact, AR2021; AR2025].
2. **FCF is not a meaningful owner-cash measure.** - Cumulative FY2016–25 FCF was +RMB56.6bn, all of it from FY2020–24 (+188.9bn). - That FY2020–24 FCF was funded largely by supplier credit: trade + bills payables rose from 49.8bn to 244.0bn. - FY2025 FCF was −97.7bn: OCF fell to 59.1bn as payables were cut to 209.2bn and capex reached 156.8bn. - OCF/NI of 4.6× over the decade is a working-capital artefact, not cash earnings power.
3. **Capital intensity.** Capex/D&A was 2.8× (FY23), 1.5× (FY24) and 2.0× (FY25) [inference; D&A from yfinance: 43.3 / 65.1 / 78.6]. - Under Munger's cash-take-out test (munger.md Q18), little cash has been free to withdraw.
4. **Hidden debt (Hohn's Fiat lesson).** Reported net cash looks benign: +102.8bn FY24, +10.8bn FY25, +2.8bn 1H26. But: - At 30 Jun 2026, trade + bills payables were RMB229.8bn ≈ 132 days of TTM COGS (~636.7bn). Bills payable jumped from 22.46bn to 53.41bn in six months [fact, IR2026]. - Charging the excess over 60 days (RMB125.1bn ≈ RMB13.7 ≈ **HK$16.1/sh**) plus perpetual bonds (RMB20.85bn) gives adjusted net debt of ≈ **RMB143bn ≈ HK$18.5/sh** [inference]. - "Other payables" (105.9bn) and contract liabilities (79.8bn) are excluded, so this is conservative. - Outside estimates run far higher: GMT Research put true net debt at ~RMB323bn vs RMB27.7bn reported [fact, GMT Research via press, 2025]. Fortune/Bloomberg cited 275 days of supplier payment in 2023 when "Dilian" supply-chain notes are counted [fact, Fortune 2025]. - BYD's own position: payable days are "relatively low within the automotive industry" [fact, AR2025].
5. **Margins.** - GM peaked at 19.4% (FY24), was 17.7% in FY25 and 18.85% in 1H26. - 1H26 overseas GM was 21.71% vs ~15.67% in China [fact, IR2026 as cited by Gawin Research]. - Mix is the only thing holding margin; the MD&A cites "persistent price wars" [fact, IR2026].

6. **Working capital is deteriorating.** Inventory rose to RMB190.0bn at 30 Jun 2026 (109 inventory days vs 79 at FY25) [fact/inference, IR2026].

Valuation snapshot (28 Oct 2026, yfinance):

- 1211.HK HK$70.45 (prev close 70.05); 52-week range 67.1–113.4; 50d / 200d averages 80.35 / 91.33.
- Market cap HK$642.3bn on 9,117,197,565 shares.
- yf trailing P/E 19.6, forward P/E 10.8.
- 002594.SZ CNY82.74; BYDDY US$8.90 [fact, yfinance].
- TTM EPS = FY25 3.58 − 1H25 1.71 + 1H26 1.35 = RMB3.22 = **HK$3.79**, so P/E 18.6× on that basis and a TTM earnings yield of 5.4% [inference].
- P/B ≈ 2.1× (RMB260.8bn attributable equity ≈ HK$33.6/sh) [inference, IR2026].
- FY2025 final dividend RMB0.358/sh [fact, HKEX dividend announcement].

3. News and policy file

Price war

- Feb 2024: "electric cheaper than oil" price campaign [not re-verified this session; from memory of press coverage — treat as unconfirmed].
- 23 May 2025: BYD cut prices on 22 models by up to 34% (Seagull to RMB55,800) [fact, Caixin 27 May 2025; Reuters 26–27 May 2025].
- 31 May 2025: MIIT: price wars have "no winners"; it promised action against "involution" [fact, MIIT; Reuters 31 May 2025].
- 12 Feb 2026: SAMR Automotive Industry Price Conduct Compliance Guide bars selling below full cost (manufacturing plus admin, finance and selling overhead) to squeeze rivals [fact, SAMR; Reuters 12 Feb 2026].
- BYD's January 2026 sales fell 30% YoY [fact, Automotive World]. 9M26 NEV sales were 3,131,576 (−3.94% YoY) but Q3 grew 18.75% YoY [fact, HKEX monthly volumes; ad-hoc-news].
- 29 Sep 2026: JPMorgan downgraded to Neutral, PT HK$124→88 [fact, ad-hoc-news]. (Cited for context, not used.)

Payables crackdown

- 1 Jun 2025: State Council SME payment regulations (≤60 days; no forced commercial notes).
- 11 Jun 2025: BYD pledged ≤60-day payment.
- 12 Jun 2025: MIIT statement covering 17 automakers [fact, press / company statements].
- Payable days on trade + bills fell from ~142 (FY24) to ~115 (FY25), then bills payable re-expanded in 1H26 [inference, §2].

State tax levers (2026)

- NEV purchase tax was halved from 1 Jan 2026 (5% effective; relief capped at RMB15,000) [fact, electrive 4 Sep 2026].
- 2% consumption tax on lithium-ion batteries from 1 Sep 2026, rising to 4% from 1 Sep 2027. In-house cells can avoid or deduct it, which **favours BYD's integration** [fact, MOF/GAC/STA 17 Jul 2026 via CnEVPost].
- NEV export VAT rebate cut from 13% to 9% from 1 Apr 2027 [fact, MOF/STA Announcement 2026 No. 29, 12 Oct 2026]. Deutsche Bank estimates ~RMB5,000 net profit per exported BYD vehicle [fact, CnEVPost 12 Oct 2026]. ×1.34m 9M exports annualised ≈ RMB9bn/yr ≈ 27% of FY25 NI [inference; order of magnitude only].

Overseas plants and tariffs

- EU: 17.0% CVD on BYD plus the 10% MFN duty = 27% (Oct 2024) [fact, Reuters 14 Oct 2024; Automotive World].
- EU hybrid import cap of 350,000 units from Dec 2026 [fact, reported by Goldman via Biggo; not verified against an EU text — treat as unconfirmed].
- Hungary (Szeged): trial production since Jan 2026; series assembly Nov/Dec 2026, about a year late; ~200k eventual capacity, running well below that for ≥2 years [fact, Reuters 9 Jun 2026; Automotive World Sep 2026].
- Turkey (Manisa, US$1bn, 150k): on hold, never started [fact, same].
- Brazil (Camaçari): 100,000th car in July 2026, >5,500 staff [fact, BYD/press].
- US: on 9 Jun 2026 the DoD added BYD to the Section 1260H "Chinese military company" list. BYD disputes it and says it is not a sanctions list [fact, HKEX announcement vol_ann_0609 / press].

Berkshire's full exit [fact, HKEX Disclosure of Interests, BYD H-shares; filer Berkshire Hathaway Inc. / BHE; pre-2025-bonus share counts; % of H-share class]

Relevant event date	Shares sold that day	Avg price (HK$)	Holding after	% of H
24 Aug 2022 (first DI)	1,331,000	277.10	218,719,000	19.92%
1 Sep 2022	1,716,000	262.72	207,140,000	18.87%
1 Nov 2022	3,297,000	169.87	196,765,000	17.92%
8 Nov 2022	5,782,500	196.99	182,480,000	16.62%
17 Nov 2022	3,225,500	195.42	175,559,500	15.99%
8 Dec 2022	1,329,500	201.34	164,093,000	14.95%
3 Jan 2023	1,058,000	191.44	153,332,500	13.97%
27 Jan 2023	1,554,500	226.32	141,617,642	12.90%
3 Feb 2023	4,235,000	257.90	130,327,642	11.87%
31 Mar 2023	2,480,500	217.67	119,730,142	10.90%
2 May 2023	1,961,000	235.64	108,340,642	9.87%
19 Jun 2023	2,532,500	266.85	98,603,142	8.98%
25 Oct 2023	820,500	245.86	87,613,142	7.98%
11 Jun 2024	1,347,500	230.46	75,686,142	6.90%
19 Jun 2024	2,017,500	234.57	65,853,142	5.99%
16 Jul 2024 (last DI, <5%)	1,395,500	246.96	54,200,142	4.94%

- The DI prices are the averages for the triggering day only; the full sale schedule is not disclosed. On today's ×3 share base the range is ≈ **HK$56.6–92.4** [inference].
- Original stake: 225m H shares for ~US$230m, bought 2008 [fact, Berkshire 2008 letter / BHE].
- After Jul 2024 there was no DI obligation below 5%. BHE carried BYD at US$415m at 31 Dec 2024 and **$0 at 31 Mar 2025** [fact, BHE 10-Q Q1 2025; BHE 10-K FY2025]. Exit confirmed by a Berkshire spokesperson [fact, CNBC 21 Sep 2025; Reuters 22 Sep 2025].
- BHE realised gains: $417m (2023), $364m (2024), $119m (2025) [fact, BHE 10-K FY2025].
- So Berkshire was fully out before the 2025 bonus issue. US$415m at YE2024 implies roughly ~12m shares left at the then H price [inference].

4. Owner-cash IRR (house engine)

- **Engine:** `cashflows_full` / `irr` imported read-only from `compounders/dip_watch/check_dips.py` (mirror of SSI `marvin_valuation`).
- **Flows:** −price; f_0 grown at g1 for years 1–5 and g2 for years 6–7; year 7 adds f_7 × exit multiple.
- **Hurdle:** 15%. Script: `/workspace/byd_lens/byd_irr.py`; output in `irr_out.txt`.
- **Owner-cash measure: TTM attributable EPS, RMB3.22 → HK$3.79/sh.** This assumes maintenance capex ≈ D&A, so owner earnings ≈ net income, and treats capex above D&A as growth capex.
  - FCF is not usable (FY25 −RMB97.7bn; 1H26 −7.4bn; payables-distorted).
  - Generosity check: owner earnings ≈ NI is **generous**, given capex has never fallen below 1.5× D&A since FY2022 and payables normalisation is still consuming cash [inference].
  - TTM is a depressed year (price war). But Begg would cap a cyclical at peak, not normalise up (chris-begg.md, Q2 2013), so starting from TTM rather than consensus is deliberate.

Case	g1 (yrs 1–5)	g2 (yrs 6–7)	Exit P/E yr 7	IRR at HK$70.45	IRR if excess payables counted as debt (HK$86.55)	15% price	15% price less HK$16.1 hidden debt
Bear	−2%	0%	8×	**−5.2%**	−8.5%	HK$25.1	HK$9.0
Base	+8%	+5%	12×	**7.7%**	4.0%	**HK$48.3**	**HK$32.2**
Bull	+15%	+8%	15×	**16.5%**	12.5%	HK$76.0	HK$59.9

Assumptions [inference]:

- **Base:** EPS gets back to the FY2024 peak (HK$5.42) in about year 5. Overseas growth is net of the 2027 rebate cut. A 12× exit is a mature-automaker multiple with a premium for scale.
- **Bear:** the price war and policy keep earnings flat to down. 8× is roughly global auto OEM territory.
- **Bull:** consensus-style recovery.
- Base flows: −70.45, 4.09, 4.42, 4.77, 5.16, 5.57, 5.85, 79.81.
- Base price at a 12/13/14/16/18% hurdle: HK$56.1 / 53.3 / 50.7 / 46.0 / 41.9.

Starting-cash sensitivity (base growth and exit):

Starting EPS	f_0	IRR at HK$70.45	15% price
TTM	HK$3.79	7.7%	HK$48.3
FY25 EPS	HK$4.21	9.6%	HK$53.6
FY24 peak EPS	HK$5.42	14.6%	HK$69.1
yf consensus forward (70.45/10.8)	HK$6.52	18.5%	HK$83.1

Reading: **the stock clears 15% today only if FY2024-peak earnings come back immediately and are sustained, or consensus forward EPS is delivered.** Begg and Klarman would not underwrite either at the entry [inference].

Exit × g1 grid at HK$70.45 (g2 = g1 − 3pt, floored at 0):

exit \ g1	−2%	0%	4%	8%	12%	15%
6×	−7.7	−6.3	−3.2	0.6	4.3	7.2
8×	−5.2	−3.7	−0.5	3.3	7.2	10.1
10×	−3.0	−1.5	1.7	5.6	9.6	12.5
12×	−1.2	0.4	3.7	7.7	11.7	14.7
15×	1.3	2.9	6.2	10.3	14.4	17.5
18×	3.4	5.0	8.4	12.6	16.8	20.0

Buy zone (HKD, 1211.HK): HK$32–48.

- At ≤HK$48 the base case clears 15% on reported balance-sheet terms.
- At ≤HK$32 it clears 15% even after charging excess payables as debt.
- No other targets are set. 52-week low is HK$67.1 [fact, yfinance].
- Currency (PRINCIPLES A15): 1211.HK is priced in HKD (USD-pegged) on RMB earnings. RMB/HKD moves feed straight into f_0. A 10% RMB depreciation lowers the 15% price by ~10% [inference].

5. Lens-by-lens

Munger (munger.md; notes/munger/dj-2016-2023-full.md)

- His BYD record, verbatim:
  - 2016: "Berkshire departed from its standard methods… I only wish our prospects were as good as BYD's… but it's not the way to bet."
  - 2021: "we're likely to be a little too loyal"; "I so rarely hold a company like BYD that goes to a nosebleed price that I don't think I've got a system yet"; nationalising BYD "very unlikely"; BYD was "a venture capital type investment but in the public market."
  - 2023: "Tesla last year reduced its prices in China twice. BYD increased its prices"; BYD at "50x earnings"; a partial sale "about a year earlier"; "I have never helped do anything at Berkshire that was as good as BYD… We do it once in a lifetime"; "there's always some little BYD that comes out and does better. Capitalism is not easy."
  - The "$270,000 investment in BYD" line in the 2023 transcript is a speech-to-text error (Berkshire's 2008 cost was ~US$230m), so it is not used.
- Tests:
  - Q18 cash-take-out: **fails**. Capex is 1.5–2.8× D&A and FCF is negative; this is compulsory reinvestment.
  - Q9 second-step technology test: battery and BOM cost savings are **flowing to the customer** (May 2025 cuts of up to 34%). This is the reverse of the 2023 "BYD increased its prices" fact Munger leaned on.
  - Q19 "what is it really?": still an automaker.
  - Q22: the stock is already −38% from its 52-week high. The falsifier "one competitor turns demented Kellogg" (Talk 2) is live in China, and BYD is arguably the one doing it.
  - §6b: his China risk tolerance rose as the price fell, but he called this a once-in-a-lifetime venture bet, not a method.
- **Verdict: admire the business, not the bet at HK$70; wait for price.** [inference]

Buffett (buffett.md)

- Q10 absence of change: autos fail (2009 letter excludes autos).

- Q11 great/good/gruesome: "good" at best; growth needs capital roughly in proportion.
- buffett.md §1: avoids "businesses that need constant capital to stand still".
- Berkshire sold from Aug 2022 and was at $0 by 31 Mar 2025 (§3). By the DI record and its own filings, the seller's revealed view is that the hold was no longer the best use of capital [fact/inference].
- **Verdict: Pass.**

Pabrai (pabrai.md; notes/pabrai/cbs-session-2026-08-25.md)

- Pro: "A low-cost commodity producer has a tremendous moat" (Q1 2025), and BYD is the low-cost producer.
- Red-flag gate (leverage first, KI Ep1): no forced-sale risk on reported numbers, but supplier financing is the Delta-style "floor and engine break together" risk if payables have to normalise in a downturn.
- **Sell trigger 2, "oligopoly rationality breaks: the largest player chases share and the industry burns cash" (Micron exit 2023; CBS 2026 p2–3), is already triggered in China.** BYD, the largest player, led the 2025 cuts and the state had to step in (MIIT May 2025; SAMR Feb 2026). In Micron's case Samsung chased share and all three makers lost money; Pabrai exited at about 2×.
- Sell trigger 1 (egregious valuation) is not triggered at 18.6× TTM.
- Market-access risk (SEBI forced liquidation analogue): the 1260H list and EU caps.
- **Verdict: no entry while the price war runs.** Monsoon's post does not address this trigger.

Chris Hohn / TCI (chris-hohn.md)

- Avoid screen (reject at ≥3 short attributes, 2012 Q4 / 2013 Q4 v2):
    1. highly competitive industry ✔
    2. technology risk ✔ (fast BEV/PHEV and battery-chemistry change; solid-state and sodium are tax-exempt to 2028)
    3. leverage ✔ on the hidden-debt tell: "supplier-financed negative working capital counts as debt" (Fiat 2012 Q4: €5.4bn understated). TCI 2017 Q4 contrasted VW's positive working capital with negative working capital at Renault, Peugeot and Fiat.
    4. aggressive accounting: possible (R&D capitalisation ~20% per CMBI; Dilian notes) — open.
    5. high valuation: ✘ at 18.6×. - **≥3 attributes: reject.**
- Pricing-power evidence: none. The realised record is price cuts.
- **Policy / price-cap falsifier:** Hohn lists "China's anti-monopoly price cuts on autos, 2014 Q3" alongside CESP/MP579 (−40.8% in one quarter) as cases where the state set price and destroyed value. In 2026 Beijing is:
    - regulating conduct (the SAMR below-cost rule could help margins), and
    - re-cutting the profit pool (battery tax, rebate cut, purchase tax). That is the state as price-setter (PRINCIPLES B11).
- Contrast: TCI accepted TSMC's Taiwan risk as "minimal". There is no comparable monopoly cushion here.
- Return algebra: FCF yield (negative) + growth + re-rating does not reach 15% without a re-rating.
- **Verdict: Pass.**

Klarman (klarman.md)

- Granite or sand: EV technology and brand cycles are sand-like. Cost leadership is the granite piece, but it is not proven to keep its gains.
- Financials gate: n/a.
- Patsy test: the information disadvantage vs onshore investors and policy insiders is real.

- "Popular securities almost never are" undervalued: BYD is less popular now (−26% YTD per MarketWatch) but still a sell-side favourite (CMBI target HK$125, GS conviction buy HK$134).
- Fixed hurdle: 7.7% < 15%.
- **Verdict: wait for a deeper margin of safety (the HK$32–48 zone).**

Li Lu (li-lu.md)

- The original sponsor; introduced BYD to Berkshire (public accounts).
- Five-question checklist (Columbia 2006): cheap? not at 7.7%. Good business? yes. Management trustworthy? Founder-operator, but the payables episode cuts against a "win-win" supplier culture. What am I missing? Policy. Why does it exist? The China discount and the price war.
- "Moat getting stronger": **abroad yes** (overseas 52.6% of 1H26 revenue; Q3 domestic NEV retail share 25% per Goldman, a secondary source). **At home it is contested.**
- Q6 country/regulatory risk: high (1260H, EU CVD, hybrid cap, export rebate).
- Li Lu's own falsifier, "regulatory change permanently caps returns", is partly live.
- G&D 2026: China stagnant for ~10 years in a market sense; global purchasing power lens.
- **Verdict: business passes and is near the edge of the circle; price does not.**

Chris Begg / ECAM (chris-begg.md)

- Policy-risk pass rule: "advantage had the potential to be inhibited by a change in government policy… in hindsight we should have passed" (Q4 2012). This applies squarely.
- Twin Lights: business quality "OK"; investment quality fails.
- 15% IRR hurdle (RWH027): fails at 7.7%. Entry owner-earnings yield ≥10% (Q2 2013): fails at 5.4%.
- Cyclicals: assume peak earnings, do not extrapolate a recovery (Q2 2013).
- Vectors to zero: none visible; downside is a single-digit or negative IRR, not zero.
- Win-win with counterparties (ESSENCE): suppliers were not treated win-win before June 2025.
- **Verdict: Pass.**

Murray Stahl / Horizon Kinetics (murray-stahl.md; context only, never feeds base IRR)

- Provider vs consumer: BYD consumes lithium and other scarce inputs, but is the provider of cells to itself. The 2026 battery consumption tax rewards that.
- HK 2023 Q4 commentary noted BYD overtaking Tesla in Q4 2023 BEV deliveries.
- "Price, not quality": a quality business at the wrong price is still the wrong buy.
- No royalty or scarce-asset toll.
- **Verdict: not a lens fit.**

PRINCIPLES.md

- A1 leverage gate: pass on reported terms; **flag** at ~RMB143bn adjusted net debt.
- A3 circle: edge of the circle (China policy).
- A5 barrier: scale and cost, direction mixed.
- A6 pricing power: fails.

- A7 reinvestment: heavy.
- A8: sand-ish.
- A9: provider of cells to itself.
- A13 hurdle: fails.
- A15 currency: HKD/RMB.
- B11: state as price-setter, applies.
- B14 sell discipline: Berkshire's exit fits Hohn-style discipline.
- Rational-oligopoly rule: "monitor the largest player's share behaviour and exit on a price war". BYD is the largest player, and the price war is ongoing → **do not enter**.

Where the lenses disagree [inference]

1. **Low-cost moat vs capital treadmill.** Pabrai and Monsoon say low cost is a "tremendous moat". Munger (Q18) and Buffett (Q11) say the cash never comes out. I side with Munger/Buffett at this price, because FCF and payables data show the cost advantage being reinvested or passed on, not harvested.
2. **Political-risk tolerance.** Munger and Li Lu tolerated China risk and called nationalisation "very unlikely". Begg and Hohn pass on policy-impairable moats. 2026 evidence (four tax and price levers in ten months) favours Begg/Hohn on pricing, while Munger was right that expropriation has not happened.
3. **Battery tax and SAMR rule.** Read as Hohn's "regulating conduct" (barrier-raising), they are pro-BYD. Read as B11 (the state re-cutting the pool), they are con. Both are true at once; net effect unknown until 2027 margins.
4. **Valuation anchor.** Consensus forward EPS (bull) implies 18.5%. Begg's cyclical rule and Klarman's fixed bar reject using it.

6. Biggest risks [inference, ranked]

1. **The China price war persists or re-ignites** despite SAMR. BYD's own share chasing is the Pabrai Micron trigger.
2. **Supplier-payable normalisation.** The working-capital release reverses into the business: excess payables ~RMB125bn; bills payable +138% in 1H26.
3. **State levers on the profit pool:** export rebate 13→9% from Apr 2027 (~RMB5,000 per exported car per Deutsche Bank), battery tax rising to 4% in Sep 2027, purchase-tax step-ups.
4. **Trade walls:** EU 27% plus a possible hybrid cap, a delayed Hungary plant, Turkey on hold, US 1260H/entity-list escalation, and other markets copying the tariffs.
5. **Capital intensity:** capex at 2× D&A while domestic volume falls. FCF negative for FY25 and 1H26.
6. **Accounting and quality-of-earnings questions:** R&D capitalisation, guarantees (RMB83.7bn per Gawin from IR2026, unverified), FX losses (~RMB4.7bn 1H26, same source).
7. **Q3'26 (29 Oct)** could move f_0 either way.

7. What would change the call [inference]

- **Price** into HK$32–48 with no deterioration in the facts.
- Or **evidence**:
  - two consecutive quarters of rising GM with domestic price stability (SAMR rule biting);
  - payable days held at or below ~90 with OCF ≥ NI;

    - FCF positive at normalised capex;
    - Hungary ramping.
- Re-check after Q3'26 tomorrow. If TTM EPS rises toward HK$4.5 on Q3, rerun `byd_irr.py`.

8. Ticker and currency facts for the repo PR (not applied — repo is read-only)

- H symbol `1211.HK`; Yahoo symbol identical. Listing currency **HKD**; financials **CNY** (FX ×1.176 HKD per CNY at 28 Oct 2026).
- `check_dips.py` SESSIONS needs `"HK": ("Asia/Hong_Kong", "09:30", "16:00")`. This is the session open/close only; the HKEX lunch break 12:00–13:00 is ignored, consistent with the other entries.
- Latest owner-cash input: TTM attributable EPS RMB3.22 = HK$3.79 (FY25 3.58 − 1H25 1.71 + 1H26 1.35). Update after Q3 on 29 Oct.
- Base g1 8% (yrs 1–5), g2 5% (yrs 6–7), exit 12×; bear −2%/0%/8×; bull 15%/8%/15×. 7-yr horizon.
- Base IRR at HK$70.45: 7.7%. 15% price: HK$48.3 (HK$32.2 hidden-debt adjusted). Shares: 9,117,197,565.
- Do not confuse with NYSE: BYD (Boyd Gaming).

Sources

- HKEX filings: BYD ARs FY2016–FY2025, IR2025, IR2026, Q1 2026, monthly volume announcements (Dec 2018–2025, Jan–Sep 2026), board-meeting notice 14 Oct 2026, 1260H announcement Jun 2026, FY25 dividend announcement. Saved in `/workspace/byd_lens/data/pdf/`.
- HKEX Disclosure of Interests (di.hkex.com.hk, BYD H shares, sid=2508): `data/di_notices.html`.
- BHE 10-Q Q1 2025 and 10-K FY2025 (SEC); CNBC 21 Sep 2025; Reuters 22 Sep 2025.
- yfinance snapshot 28 Oct 2026 (`data/yf_snapshot.json`).
- Policy: MOF/STA Announcement 2026 No. 29 (gov.cn, 12 Oct 2026); CnEVPost 12 Oct and 18 Jul 2026; electrive 4 Sep 2026; SAMR 12 Feb 2026; MIIT 31 May 2025; Reuters 9 Jun 2026, 14 Oct 2024, 26–31 May 2025; Caixin 27 May 2025; Automotive World Sep 2026.
- Previews: MarketWatch (Visible Alpha), CMBI 14 Oct 2026, Goldman via Biggo, Gawin Research. Sell-side targets are quoted as context only.
- Monsoon Pabrai, "BYD" (undated).
- Lens files `/workspace/shared/magis/lenses/*.md` and notes.